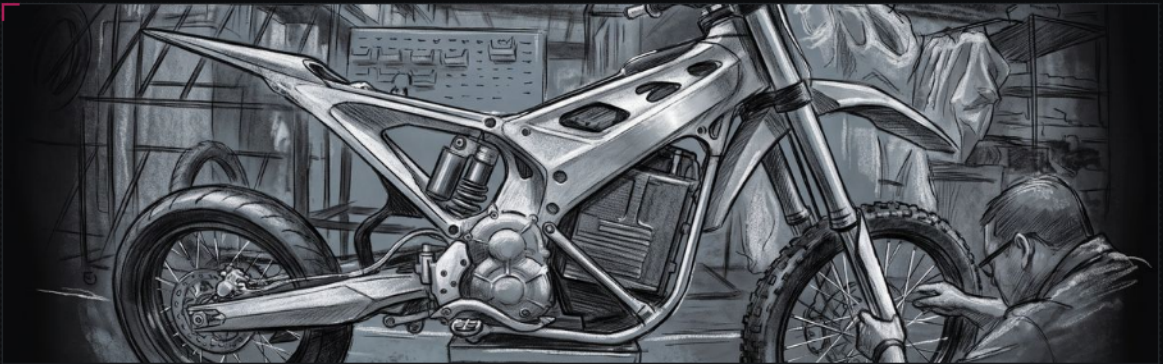


LIVEWIRE: 5 YEARS IN AND 1% OF PLAN • PART 4 OF 4

IT WAS DECIDED IN NOV 2025

The quarter was reported in July 2026.
The outcome was settled eight months
earlier, in a loan agreement.



S2, STRIPPED

Cast frame, battery case, motor. Every one built for LiveWire is bought from Harley at cost plus a mark-up.

LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · THE ROUTE

FOUR PARTS. ONE THESIS.



JUNEAU AVENUE, THE LENDER'S ADDRESS

Juneau Avenue. The parent, the landlord, the supplier and, since November 2025, the secured lender.

PART 1 OF 4

THE GROWTH

386% is 55 bikes to 267. The plan was 100,000.
The miss is the story.

PART 2 OF 4

THE LINEUP

\$29,799 to \$4,999. Premium to price. The overhead
never followed.

PART 3 OF 4

THE CONTRACTS

Buying bikes loses money. Not buying them costs
money. Both in writing.

PART 4 OF 4 · THIS POST

THE LOAN & THE FINAL WORD

Nov 2025: equity backstop out, secured claim in.
\$85M due Dec 2027.

FIFTEEN MONTHS, FIVE FILINGS

A vertical timeline on the left side of the page, consisting of a thin grey line with five colored dots: teal, red, grey, grey, and grey. Each dot corresponds to a date and a block of text.

FEB 2024

\$100M convertible loan. If LiveWire can't repay, H-D converts to equity. Never drawn.

NOV 2025

Conversion feature REMOVED. Security interest over substantially all assets added. Covenants added.

DEC 2025

\$75M drawn. Interest accrues to maturity.

FEB 2026

"Does not plan to make additional investments."

MAY 2026

Five-year strategy. No LiveWire target. The word "electric" does not appear.



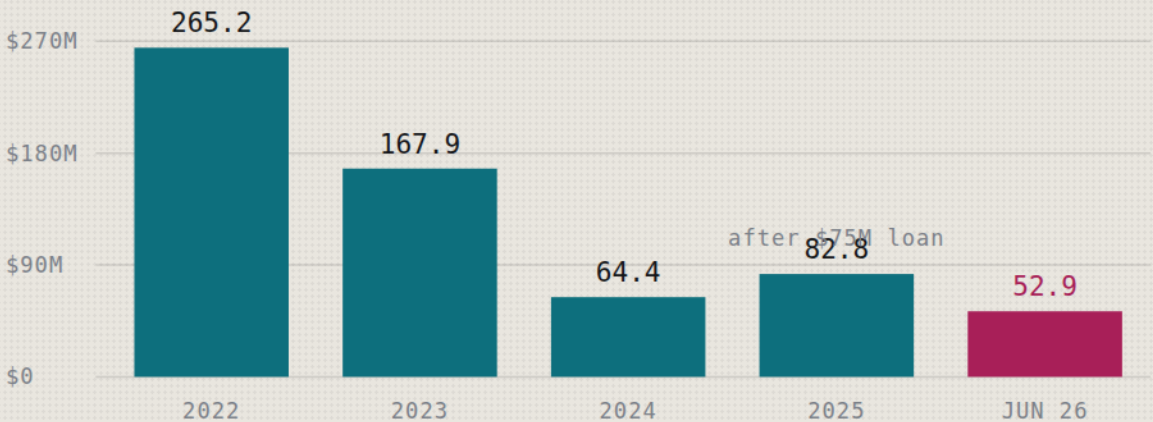
BUILT IT, BADGED IT, SOLD IT, LENT AGAINST IT

Built it, badged it, sold it, lent against it. A lien on substantially all of LiveWire's assets.

IN FIFTEEN MONTHS, HARLEY-DAVIDSON MOVED FROM PARENT TO SECURED CREDITOR.

Every step is a filed instrument with a date on it. What the sequence means is interpretation. That it occurred is not.

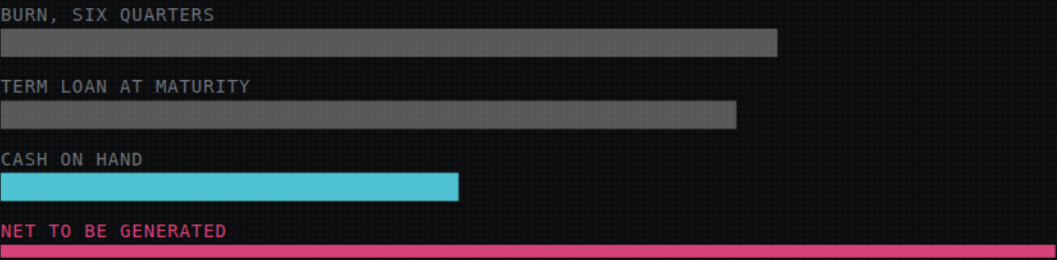
CASH, AND WHERE IT WENT



The 2025 increase is **borrowed money, not earned.**

WHAT HAS TO BE FOUND BY 15 DECEMBER 2027

Burn, six quarters	\$89.7M
Term loan at maturity	\$85.0M
Less cash on hand	-\$52.9M
Net to be generated	\$121.8M



Interest accrues at SOFR + 4%,
compounding, with nothing payable until
maturity. The balance grows.

WHAT THAT MEANS IN MOTORCYCLES

LIVEWIRE: TTM

923

HONDA GROM: BEST SELLER IN THE SEGMENT

~10,000 a year, with Honda's dealer network

NEEDED TO CLEAR DECEMBER 2027

135,000

All three drawn to one scale. **Twenty-one Honchos per dealer, per week, for fourteen months.**



2,000 HONCHOS IN A STRONG FIRST YEAR

The S4 Honcho. The volume bike, priced \$1,400 above the bike that already owns the segment.

40,000

UNITS A YEAR BEFORE ANY CONCLUSION CHANGES

THE REALISTIC CASE

2,000

S4 HONCHOS GLOBALLY IN A STRONG FIRST YEAR

COVERS THIS MUCH OF ANNUAL BURN

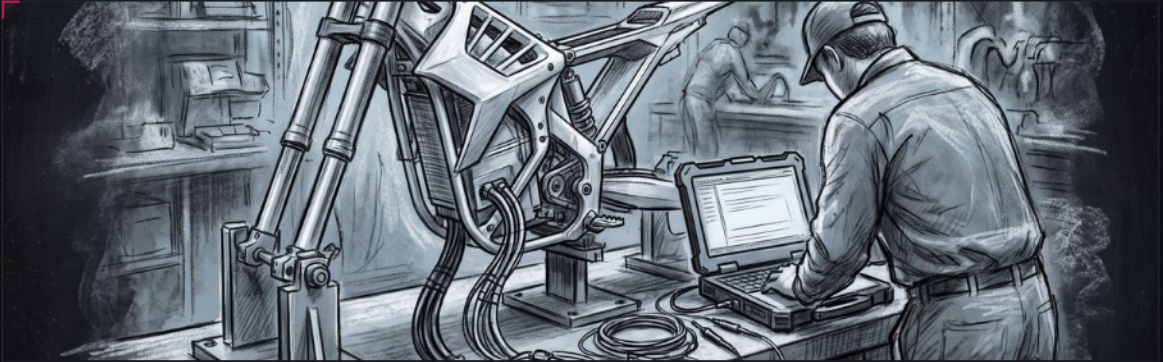
3%

COVERS THIS MUCH OF THE DEC 2027 GAP

1.5%

Nothing below roughly 40,000 units changes any conclusion.

CREDIT WHERE IT'S DUE · THE PEOPLE DID THE WORK



REAL ENGINEERING, REAL SOURCING

The precedent: a small electric company that built real motorcycles and ran out of money anyway.

-47%

COST PER MOTORCYCLE · 2024 → Q2 2026

\$44,147 to \$23,172. Real engineering, real sourcing.

-18%

OPERATING CASH BURN · H1 26 VS H1 25

\$32.4M to \$26.4M. Disciplined.

45.6%

STACYC GROSS MARGIN · Q2 2026

The only segment that makes money. A real business.

105

DEALERS · 88 → 96 → 105

Cut the network 30%, then rebuilt it. Harder than building one.

171%

RETAIL GROWTH · Q2 2026

Retail beat wholesale. Dealer stock went down. Not channel stuffing.

\$4,999

S4 HONCHO · LAUNCHED

New platform, new price, new manufacturer, in the middle of all this.

WHY IT ISN'T ENOUGH

STACYC

Starting at \$799

**S4 MINI-MOTOS****S2 MOTORCYCLES**

Starting at \$11,999

**LIVEWIRE ONE**

Starting at \$16,499



THE LINEUP THEY HAVE

The lineup, \$799 to \$16,499. One segment in it makes money, and it is the one without a motor.

WHAT THEY DON'T
HAVE IS A LINEUP
WITH VOLUME IN IT.
WHAT THEY CAN'T
GET IS A SET OF
CONTRACTS THAT
LET THEM WIN EVEN
IF THEY FOUND ONE.

You cannot execute your way out of cost-plus, take-or-pay, a services agreement Harley can end on ninety days' notice, and a secured note held by your own parent. Those were signed by people above them, some before most of them arrived.

THE FINAL WORD • HARLEY-DAVIDSON



HARLEY DIDN'T LEAVE. IT CHANGED SEATS.

It still builds the bikes, at cost-plus. Still charges the services fee. Still floors the dealers through HDFS. Now collects SOFR + 4% on \$76.8M secured on substantially all of LiveWire's assets, with a services agreement it can end on ninety days' notice.

It gets paid on the way up, on the way down, and on the way out. The 22% public float carries the risk without collecting a fee.



NEXT: THE PARENT

Juneau Avenue at dusk. The building has room for one brand.

2026 WAS THE YEAR EVERYTHING WAS SUPPOSED TO HAPPEN. IT IS 2026. THEY ARE AT ONE PERCENT OF PLAN.

That's the series. Ground Truth No. 02
takes up the parent: what LiveWire is
doing to Harley-Davidson's own numbers.

Full brief: 14 sections in six parts, 260
filings, every source linked, corrections log
published.

contactpatchadvisory.com/groundtruth